MORE THAN MONEY · MTM STRATEGIES

Golden Zone

Gold scalping on the 5 minute chart: the signal marks the zone, you wait for the retest and only enter with the confirmations on your side.



Strategy guide

morethanmoney.pt

STYLE

Trend-following scalping, entering on the retest of a zone

ASSETS

Gold (XAUUSD)

TIMEFRAMES

5 minutes, for both analysis and entry

01

The strategy in a nutshell

Golden Zone is MTM's scalping strategy for gold. It doesn't tell you to chase price: when a signal appears, it marks an action zone and waits for price to come back to it.

The scanner finds the signal and draws the full plan, with entry, stop and two targets. You decide whether to take the trade, after checking four confirmations: trend, support and resistance, candle pattern and imbalances.

Every new signal erases the previous one. That's why Golden Zone is followed live, on the 5 minute chart.

02

What you see on the chart



Yellow tick and action zone. The tick appears on the signal candle, with the yellow action zone box. The tick is a warning, not the entry candle: the parameters are still missing.



The full plan. When the next 5 minute candle closes, Exit 1 and Exit 2 (targets, in green) and the invalidation zone (stop, in red) appear. Without these levels there's no trade.



White flag. The trade is over: it won, lost, or price reached the targets without coming back to the zone. Once the flag is showing, you don't enter.



Sell signal. On a sell everything flips: the zone sits above price, the invalidation above it and the exits below.

03

The confirmations

After the signal, with the parameters drawn, check the four confirmations in this order. The more of them in your favour, the stronger the trade.

1. Trend. Use the 50 and 200 exponential moving averages on the 5 minute chart. The 50 above the 200 is an uptrend: buys only. The 50 below the 200 is a downtrend: sells only.
2. Support and resistance. Does the action zone line up with a place where price has reacted before? Mark that area on the chart. If it lines up, the zone gets stronger.
3. Candle pattern. Look for a candle that confirms the direction, for example a bullish engulfing on a buy or a bearish engulfing on a sell.
4. Imbalances. Check there are no unfilled price gaps near the invalidation zone. An efficient price path protects your stop.

04

Entry and management

1. Wait for the close of the 5 minute candle after the yellow tick and read the levels: action zone, Exit 1, Exit 2 and invalidation.
2. Check the four confirmations. If the trend is against the signal, let it go.
3. Place a limit order inside the action zone. The middle of the zone usually gives a better risk to reward.
4. Place the stop beyond the invalidation and beyond the most extreme wick of the previous candles, not just the signal candle.
5. Targets at Exit 1 and Exit 2. Work out your position size before sending the order.
6. When the white flag appears, the trade is over. Log the result and wait for the next signal.

05

When not to enter

- On the yellow tick candle: there's no plan yet.
- Against the trend of the 50 and 200 averages.
- After the white flag, or when price has already passed Exit 2 without coming back to the zone.
- With unfilled imbalances near the stop.
- With the stop placed right on the signal candle's wick.
- On a live account without first practising the strategy on demo.

06

In practice



Limit order in the middle of the zone. A buy on gold: the order sits in the centre of the action zone, with risk and reward measured before entering.



A stop that's too tight. A wick went through the invalidation and took the trade out. Right after, price climbed to both exits. Stop below the lowest previous wick.



No trade. Price rose beyond Exit 2 without coming back to the zone. White flag: no entry, no win and no loss.



Past support. The action zone lines up with an area where price had reacted before, marked in purple. That's the second confirmation.



A sell with every confirmation. Downtrend, bearish engulfing, old resistance and no imbalances. Taken on demo and it lost: that's part of it. The strategy is measured across the whole set of trades.



A new signal erases the old one. Just the tick and the box: the next candle still has to close. The previous signal has disappeared from the chart.

07

Pocket checklist

- [ ] Yellow tick and next candle closed, with Exit 1, Exit 2 and invalidation drawn
- [ ] 50 average on the right side of the 200
- [ ] Action zone on past support or resistance
- [ ] Candle pattern in favour (for example, an engulfing)
- [ ] No unfilled imbalances near the stop
- [ ] Limit order inside the zone, ideally in the middle
- [ ] Stop beyond the most extreme wick of the previous candles
- [ ] Position size worked out before entering
- [ ] No white flag on the chart

Disclaimer. This guide is educational and is not financial advice. Trading forex, indices, metals and crypto carries a high level of risk and you may lose some or all of your capital. Past results do not guarantee future results. Practise on a demo account first and set your risk before every entry.